

rent that's close to every amenity you'll need, including a bus stop, a hospital, a grocery store, and a pharmacy. And if you can be closer to family, all the better. You're going to need their help, and they may need yours. But don't skimp on insurance or extra health care benefits, such as dental and a prescription drug plan. This is the decade when health surprises aren't really surprises. Finally, cut off your kids or any other dependents. Anything that isn't being used to support you now is being set aside for your retirement. There is no other money for grown children, no matter how much they beg and plead.

Five to seven years before retirement is the time to practice living frugally. Get used to deprivation before you're deprived. You're trying on what it feels like to live within your new means. And take advantage of everything free coming your way. Some discounts on public transit and event tickets start at sixty, so sign up for everything you're eligible for. Shop on senior-discount days.

More important, start making new friends. It's never too late. You still need a social life and a connection to people your own age. Life's not over. This is just a new phase.

Money Mistake: You're Not Sure When or How to Downsize Your Home

THE FIX: SELL WHEN COSTS OUTWEIGH BENEFITS

Even while they're inching toward retirement, many people sit on their real estate, because they've become emotionally attached to the family home. They remember it as a place where they've raised their kids and they see it as the home their grandchildren will visit. But that home is also a major money pit. It still requires constant upkeep if you want to get your value out of it when you sell, and you're paying increasingly higher taxes on the property. It's also very likely much larger than you actually need. Plus, you still have to insure it. So even if you're mortgage-free, you're certainly not expense-free. Worse, that home is a tempting landing pad for your adult kids, who will always see that